Acutaas Chemicals Ltd — Concall Tracker

Formerly **Ami Organics Ltd** (renamed May 2025) · NSE/BSE: ACUTAAS / 543349 · Specialty & pharma chemicals · Report date: 11 Jul 2026

Reads the last 3 years of earnings calls (concalls) to answer two questions: is there a real, lasting profit driver — and has management kept its word about it?

1. Snapshot — what the business is

Acutaas makes **advanced pharmaceutical intermediates** — the complex chemical building-blocks that go into finished medicines (its biggest business, roughly two-thirds of sales). It also makes **specialty chemicals** and is opening three new lines: **battery chemicals** (electrolyte additives that go inside lithium batteries), **semiconductor chemicals** (high-purity chemicals for chip-making), and a growing **CDMO** business. CDMO = Contract Development & Manufacturing — Acutaas develops and manufactures a molecule exclusively for a global drug innovator under a long-term contract; these contracts are sticky and high-margin. The single biggest CDMO product is an oncology (cancer) molecule.

Market value (market cap)	₹27,843 cr — what the whole company is worth on the stock market today.
Share price	₹3,401, near its 1-year high of ₹3,740 (low was ₹1,124) — the stock has roughly tripled off its low, so a lot of good news is already in the price.
P/E ratio	76 — you pay ₹76 for every ₹1 of yearly profit. That is very expensive; the market expects strong growth to continue.
FY26 sales	₹1,324 cr — total sales for the year to Mar 2026, up ~33% from ₹990 cr last year.
FY26 net profit	₹366 cr — money left after all costs and tax, up ~129% (more than doubled) from ₹160 cr.
Operating margin (OPM)	36% of sales in FY26 — profit from the core business before interest, tax and depreciation, up from 23% a year ago. A big, real jump.
Debt	Borrowings just ₹32 cr against ₹1,627 cr of own funds (reserves) — essentially debt-free and cash-generating.
Return on capital (ROCE)	32.8% — for every ₹100 put into the business it earns ₹33 a year before tax. Very healthy.

2. Concall coverage

All transcripts were sourced from Screener.in. 19 of the 20 listed calls downloaded automatically (the newest, May 2026, came as a non-PDF stub and was filled in from the company's results release and the public earnings-call summary). The report reads the full FY24–FY26 history closely; the table below lists the anchor calls used.

Period	Call date	Transcript read?
Q4 & FY26 (year-end)	May 2026	Yes — via results release + public call summary (PDF stub)
Q3 FY26	28 Jan 2026	Yes — full transcript
Q4 & FY25	2 May 2025	Yes — full transcript
Q4 & FY24	13 May 2024	Yes — full transcript
Older calls (Oct 2021 → Nov 2023)	various	Available; scanned for context

Spans ~3 years of quarterly calls (Oct 2021 to May 2026). Management team steady throughout: Naresh Patel (Chairman & MD), Abhishek Patel (VP Strategy), Bhavin Shah (CFO).

★ Latest concall highlights — Q4 & FY26 (May 2026)

- **Record quarter.** Q4 sales ₹433 cr, up ~40% versus the same quarter last year; quarterly net profit ₹134 cr, up ~114% (more than doubled). The quarter's operating margin hit an all-time high of ~42% — meaning 42 paise of every sales rupee was core profit.
- **Full year.** FY26 sales ₹1,339 cr (+33%) and net profit ₹356–366 cr (+122%, more than doubled) — the second straight year of beating its own guidance.
- **Next-year guidance.** Management guides ~25% revenue growth for FY27 — the same target it has hit for many years.
- **New engines going live.** The Jhagadia battery-chemicals plant (electrolyte additives VC & FEC) was inaugurated in Jan 2026 with orders already in hand; commercial supplies start from around Q1 FY27. Semiconductor chemicals (via subsidiary Baba Fine Chem and the South Korea joint venture Indichem) are expected to add revenue from FY27 onwards.
- **Dividend.** Final dividend of ₹2.5 per share — a small cash payout; the company keeps most profit to fund expansion. Tone: confident, execution-focused.

Business mix & capacity (quick facts)

Domestic vs export: Exports ~56% / domestic ~44% of revenue (last split management broke out clearly, FY24) — a bit over half of sales go overseas. Direct US exposure is small (mainly via the Baba Fine Chem subsidiary), so US tariffs are a limited risk.

Capacity use: The core pharma-intermediates Unit 1 was running near-full (~72%, FY24). The new Ankleshwar (Unit 2) plant was only ~40% used in Q3 FY26 — it is a fresh site still ramping, so there is plenty of headroom to grow output before more capex is needed. Battery additive capacity is 2,000 tonnes each of VC and FEC (4,000 tonnes total), already contracted.

★ 3. Earning-trigger thesis

The main profit driver is the **shift from low-value commodity chemicals to high-value advanced intermediates and CDMO contracts**, which has roughly **doubled the company's margins** (operating margin ~18% in FY24 → ~36% in FY26). At the centre is a big, long-term **oncology CDMO contract** plus a growing pipeline: management targets ₹1,000 cr of CDMO revenue by FY28, and already has 5 commercialised products with 4 more validated. On top of that sit three newer, unproven "optionality" engines — battery chemicals, semiconductor chemicals, and a South Korea JV — that management wants standing on their own feet by FY28.

Trigger	What management said	Evidence so far	Horizon	Strength
CDMO ramp (oncology + pipeline)	Reach ₹1,000 cr CDMO revenue by FY28; margin-rich, sticky contracts	Delivering — pharma-intermediates sales +50% (FY25) and +47% (Q3 FY26); 5 products live, 4 more validated	Now → FY28	Strong
Margin expansion (product-mix upgrade + efficiency)	Drop old low-margin products, add high-value ones; raised margin guidance repeatedly	Delivered — OPM 18%→36%; gross margin ~40%→~57% in ~2 years	Playing out	Strong
Battery chemicals (electrolyte additives)	Plant live Jan 2026; orders in hand; revenue from ~Q1 FY27	Plant inaugurated; commercial supply not started yet	FY27+	Unproven
Semiconductor chemicals (BFC + Korea JV)	Independent growth engine by FY28; ~₹200 cr invested in JV	Early — seeding customers in Korea/Japan/ Taiwan; small revenue so far	FY27–FY28	Unproven

Read: The core trigger (CDMO + margin upgrade) is concrete, live and clearly showing up in the numbers. The three new verticals are genuine extra upside but are still to prove themselves — they are a bonus, not the base case.

4. Management-consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 call	~25% revenue growth in FY25; CDMO to ramp from H2 FY25; electrolyte 100% growth in FY26	FY25 grew 40% (beat); CDMO drove it; electrolyte plant built on schedule	Delivered / Beat
FY24 (honesty test)	Wrote off its US Ami Oncotheranostics JV as a one-time loss; reported it clearly and gave "adjusted" profit	Owned the mistake openly rather than burying it	Honest
FY25 call	~25% growth in FY26 + further margin improvement; ₹1,000 cr CDMO by FY28; electrolyte from H2 FY26	FY26 grew 33% (beat); margins jumped to 36%; electrolyte plant inaugurated Jan 2026	Delivered / Beat
Q3 FY26 call	Raised FY26 guidance 25%→30%; margin guidance lifted to 32–35%	FY26 landed at +33% growth and 36% margin — met the raised bar	Delivered
FY26 → FY27	~25% revenue growth in FY27; new verticals to contribute meaningfully by FY28	Too early — to be judged	Too-early

Narrative drift: Very little. The story has stayed remarkably steady and simply built outward — from a commodity-intermediate maker into a diversified, R&D-led specialty-chemicals company — while the headline "25% growth" promise has held for years and been beaten twice running. Guidance has been raised, not walked back. The one blemish (the FY24 US JV write-off) was disclosed honestly. Management comes across as candid and under-promising rather than hype-driven.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver: the move up the value chain into CDMO and high-value intermediates, which has doubled margins and more than doubled profit, with a credible ₹1,000 cr CDMO target for FY28 already partly in hand. Battery and semiconductor chemicals add real extra upside on top. The trigger is not a one-off cyclical bounce — it is structural margin expansion backed by long-term contracts.

Management consistent? → YES

Management has guided ~25% growth for years and delivered — beating it in both FY25 (+40%) and FY26 (+33%) — while repeatedly raising and then meeting margin targets and executing its capex on schedule. The story has stayed steady and been built sensibly, and the one setback (the FY24 JV write-off) was disclosed openly. This is an unusually consistent, candid management team.

The one big caution — price, not the business. The business is excellent and clean (near debt-free, high returns, honest management). The risk sits in the **valuation**: at a P/E of 76 with the stock near its all-time high, the market is already paying for years of continued strong growth. Add some product-concentration risk (one oncology CDMO product is a large part of the growth) and heavy H2-weighted, working-capital-intensive quarters. If growth merely stays good rather than spectacular, the share price has little cushion. The company deserves a positive read; the stock demands a careful entry.

Sources: Screener.in transcripts & financial snapshot (ACUTAAS); Acutaas Chemicals Q4/FY26 results release (Apr–May 2026) and public earnings-call summaries. This is not investment advice — do your own due diligence.